ARANDAAZ

# DRIVING DIGITAL DEPOSITS:

# INNOVATIVE APPROACHES TO SAVINGS AND INVESTMENT

# Driving Digital Deposits: Innovative Approaches to Savings and Investment

Published in Pakistan in May 2025 by Karandaaz Pakistan with financial support from the United Kingdom's Foreign, Commonwealth & Development Office (FCDO) and the Gates Foundation.

*Developed by:*
**Constech**

*Authored by:*
**Abdul Ghaffar -** *Head of Research and Operations, Constech*
**Ayesha Sheikh -** *Senior Manager Research and Communications, Constech*

*Reviewed and edited by:*
**Ali Akbar Ghanghro -** *Senior Manager, Research & Insights, Karandaaz*
**Amina Shahid -** *Senior Analyst- Research and Insights, Karandaaz*

*Designed by:*
**Yasir Farhan**

The views expressed in this document are those of the authors and do not necessarily reflect the views and policies of Karandaaz Pakistan or the donors who have funded the study.

© 2025 Karandaaz Pakistan

*This report explores how financial institutions can drive digital deposit growth through innovative savings and investment offerings. It provides actionable insights on product design, customer engagement, and market segmentation to optimize outcomes.*

# TABLE OF CONTENTS


**1. Introduction** — **1**

**2. Purpose of the Study** — **3**

**3. Methodology** — **3**

**4. Demographics** — **3**

4.1 Gender Distribution — 3

4.2 Age Distribution — 3

4.3 Educational Background — 4

4.4 Income Trends — 4

4.5 Saving Behavior — 4

4.6 Monthly Savings — 5

4.7 Bank Account Ownership — 5

4.8 Mobile Wallet Experience — 5

4.9 Shariah Compliance — 6

**5. Saving Aspirations** — **7**

5.1 Reasons to Save — 7

5.2 Barriers to Saving — 8

5.3 Satisfaction with Saving Products — 9

**6. Investments** — **11**

6.1 Gender-based Investment Preferences — 11

6.2 Income Brackets and Investment Preferences — 11

6.3 Expected Return on Investment — 13

6.4 Investment Knowledge — 14

6.5 Investment Products for Gen Z — 15

6.5.1 Real Estate — 15

6.5.2 Stocks — 15

6.5.3 Mutual Funds — 16

6.5.4 Insurance — 16

6.5.5 Gold — 17

**7. Gamification** — **18**

**8. Financial Literacy** — **20**

**9. Key Recommendations** — **21**

**10. Conclusion** — **22**

# 1. INTRODUCTION

Digital banking in Pakistan is rapidly evolving, driven by the country's young and tech savvy population, increasing penetration of internet services and the government's push towards digital financial inclusion. Digital banks are fully online financial institutions that offer banking services—such as account opening, money transfers, savings, and investments—through digital platforms, without the need for physical branches. Compared to digital banks, traditional banks in Pakistan have a widespread network, yet they fail to address the financial needs of millennials and Gen Z, leaving a significant portion of the population unbanked.

According to the Karandaaz Financial Inclusion Survey 2022, at least 30% of Pakistanis reported having a bank account. Access to banks remained at 26% while mobile money access was at 25% in 2022[1]. On the contrary, global access to financial services is improving significantly. As of 2021, 76% of adults worldwide have a bank account or mobile wallet account, marking a notable rise from 68% in 2017 and 51% in 2011[2].

This growth has been particularly notable in countries such as India and China. In China, 89%[3] of adults now have a financial account, while in India, the figure stands at 78%. Since the onset of the COVID-19 pandemic, over 80 million adults in India and more than 100 million adults[4] in China have made their first digital merchant payment.

To improve rate of financial inclusion in Pakistan, a strong digital banking ecosystem needs to be in place. State Bank of Pakistan(SBP) has taken transformative steps to make this a reality. The first being introduction of National Financial Inclusion Strategy in 2014/15 in collaboration with World Bank with the aim to improving access to formal financial services amongst under served and low-income populations. The key objectives including promotion of digital payments, improving access to credit for SMEs, improving financial inclusion ratios for women and to ensure growth of microfinance sector. Secondly, provision of In-Principle Approval (IPA) to upcoming 5 digital banks paved the way to achieve these objectives in an efficient manner and ensure more people have access to financial services conveniently. In accordance with regulatory guidelines, digital banks are categorized into two distinct types: Digital Retail Banks (DRB), catering primarily to retail customer segments, and Digital Full Banks (DFB), which extend services to corporate, commercial, and retail customer segments.

In January 2023, the SBP issued No Objection Certificates (NOCs) to these banks, including Hugo Bank Pakistan, KT Bank Pakistan Limited, Mashreq, Raqami Islamic Digital Bank, and Telenor Microfinance Bank (Easypaisa). Subsequently, these entities were granted IPA, delineating terms and conditions for pilot operations, which must be completed within a specified timeframe. Upon successful completion of pilot operations, applicants become eligible to apply for a license to initiate commercial operations.

Despite substantial efforts by the regulator in ensuring that these digital banks have a smooth kickoff, there are still challenges, which are yet to be tackled. The biggest challenge faced by digital banks is to compete with legacy commercial banks who have a strong reputation and deposit base in the market. Many commercial banks have upgraded their mobile apps and are offering digital account opening and digital account management services as well which will further create difficulty for digital banks to establish a unique proposition for customers and to pull away customers and attract a large deposit base. In such circumstances, innovation and a customer driven mindset would be the main differentiating factors for these emerging digital banks.

[1] https://karandaazmain.wpenginepowered.com/wp-content/uploads/2023/02/Karandaaz-Financial-Inclusion-Survey-2.pdf

[2] https://www.worldbank.org/en/publication/globalfindex

[3] The global findex database 2021(https://openknowledge.worldbank.org/home)

[4] https://www.worldbank.org/en/news/press-release/2022/06/29/covid-19-drives-global-surge-in-use-of-digital-payments

# 2. PURPOSE OF THE STUDY

Internationally there are many successful examples of digital banks such as South Korea's Kakao Bank or China's WeBank who have established a strong foothold in the market, however, in Pakistan, the concept is relatively new. In such a scenario, developing loyal audience base and expanding deposits to generate profits and to compete at an equal footing with traditional commercial banks will be major hurdles for these digital banks. This study aims to identify ways through which emerging digital banks can achieve this task by attracting a new customer base of Gen Z and millennials who form 64%[5] of Pakistan's current population.

One of the most effective ways to make them a part of the digital banking ecosystem is through introduction of innovative savings and investment options, which would encourage this segment to maintain their funds with digital banks for extended periods, using these platforms to grow their wealth.

Various demographic and economic factors influence saving behavior in individuals. The Government of Pakistan has launched many schemes on a national level to improve savings rate in the country, but lack of innovative saving products, ineffective policy implementation, low transitionary and permanent income and frequent regime changes have led to insignificant growth in savings rate of the country[6]. According to a report by Macropakistani, Pakistan has one of the lowest gross savings rates in the world. As of 2023, Pakistan's gross savings amounted to 12.95% of GDP[7]., significantly lower than the global average of 24.69% and the South Asian average of 27.97%[8]. The country's current account has remained in a near-constant deficit over the past 15 years, a trend closely linked to its low savings rate as a percentage of GDP[9].

Lack of access to financial products is one of the key reasons for the low savings rate in the country. The bottom half of the population are unable to access financial instruments such as mutual funds, stocks, term deposits etc due to which they are unable to save effectively . Similarly, they face cultural constraints due to which they avoid opting for term deposits or saving accounts option. Being a predominantly Muslim country, social norms against interest-based borrowings and savings alike self- exclude the poorest of the poor. Consequently, Pakistan is stuck in a low saving, low investment trap, which has halted economic progress.

A spillover effect of improved savings rate in a country is expansion in investment portfolio. Against the target of a 15.1% investment-to-GDP ratio set by government of Pakistan for 2023, it managed to achieve only 13.1% in the outgoing fiscal year[10]. This is the lowest ratio in the past 50 years. According to a report issued by SBP, it is reported that only 50 percent of the national savings find its way into the financial sector, the remaining is mostly invested informally into the real estate sector or in some other asset class e.g. gold[11]. The size of Pakistan's documented economy has reached $341.1[12] billion, according to the Pakistan Economic Survey 2023-24. However, a significant portion of the economy remains informal, with estimates suggesting that the informal economy is 64%[13] larger than the formal sector. The tendency to save money outside formal financial institutions is driven by factors such as limited access to banking services, distrust in financial institutions, and the convenience of traditional saving practices. Traditional forms of informal savings i.e. committees, gold or property are still preferred as these avenues are seen as secure and tangible. Digital banks have a unique opportunity to capitalize on these informal means of savings and develop products for millennials and Gen Z by understanding the financial needs and introducing customized products and features, which ensure convenience and ease. The purpose of the study is to identify financial needs of Millennials and Gen Z and to introduce innovative solutions or approaches, which could be adopted by digital banks that could help them to increase their deposit base.

[5] *https://hdr.undp.org/content/unleashing-potential-young-pakistan?utm*

[6] *Nasir, Khalid. (2004). Title of the Article: Challenges in Improving Savings Rate in Pakistan: Government Schemes and Policy Implementation. Journal of Economic Policy and Development, 10(2), 45-60.*

[7] *https://www.statista.com/statistics/778916/gross-savings-share-of-gdp-pakistan/#:~:text=The%20gross%20savings%20as%20a,preceded%20by%20declining%20gross%20savings.*

[8] *https://macropakistani.com/savings-inequality*

[9] *Ibid*

[10] *https://tribune.com.pk/story/2467866/investment-plummets-to-50-year-low*

[11] *Ali, SBP Staff Notes. (2016). Informal Assets and Investment Patterns in Pakistan: Insights from the State Bank Report. State Bank of Pakistan.*

[12] *https://finance.gov.pk/survey/chapter_24/Highlights.pdf*

[13] *https://www.brecorder.com/news/40304405#:~:text=According%20to%20a%20study%2C%20the,percent%20greater%20than%20the%20latter.*

# 3. METHODOLOGY

The methodology for this study primarily consists of quantitative and qualitative data collection. In the first phase quantitative research was conducted during which surveys were held in 7 leading universities of Islamabad, allowing insights to be collected and behavioral patterns related to savings and investments of the target audience, Gen Z and millennials, to be understood. During the second phase, these patterns were further analyzed, and feasibility of various innovative solutions was assessed that could encourage millennials and Gen Z to save and invest more through digital banks.

## Quantitative analysis

For data collection, 700 interviews were conducted in seven universities of Islamabad. These included NUST (H12 campus + EME), Quaid e Azam University, Wah University, Comsats University, International Islamic University, FAST University and Fatima Jinnah Women University.

## Focus group discussion

To further gain perspective on saving and investment behavior and assess the feasibility of different investment options, two focus group discussions were held with industry experts. These included representatives of SECP, State Bank, Digital Banks, Stock Market and Mutual Funds. Experts belonging to the real estate sector and fintechs participated in the discussion as well.

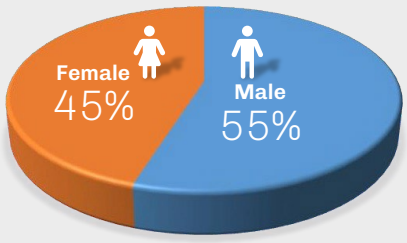
# 4. DEMOGRAPHICS

The demographics section provides an overview of the characteristics of the participants of the study offering insights into the population's composition and preferences. Various factors such as gender, age, educational level, monthly income, access to bank account, monthly amount saved, preference regarding Shariah compliant accounts are highlighted in this section.

## 4.1 Gender

The survey included a total of 696 participants, comprising 382 males and 314 females, representing 55% and 45% of the sample, respectively, as illustrated in Figure 1.

Figure 1

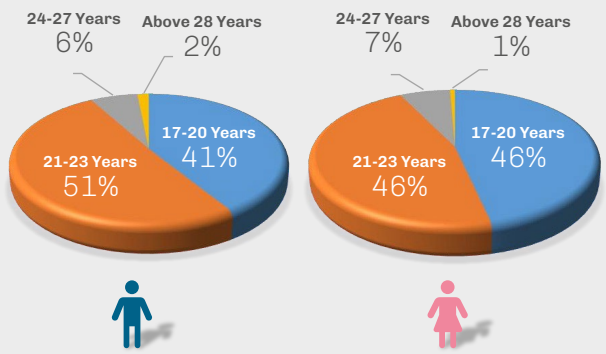



RESPONDENT GENDER DISTRIBUTION

## 4.2 Age

As shown in Figure 2, the survey sample consisted of individuals aged between 17 to 30 years. Among the participants, 46% of females and 51% of males were in age bracket of 21 to 23 years and 46% of female students and 41% of male students were aged 17 to 20 years. Additionally, 6% of male students belonged to the 24 to 27 age range, while 7% of females fell into the same category. Only 2% of male, 1% of female students were above 28 years.

Figure 2

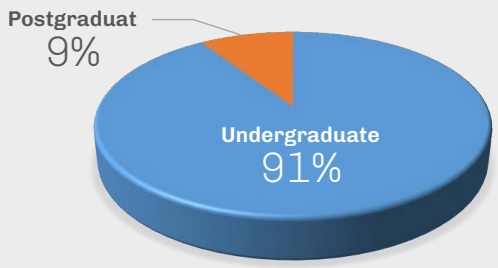



MALE AGE DISTRIBUTION FEMALE AGE DISTRIBUTION

## 4.3 Respondents' Educational Background

As illustrated in Figure 3, a significant majority of the population, comprising 91%, was at the undergraduate level, while only 9% were enrolled in postgraduate programs. This distribution highlights the predominance of undergraduate education within the sample.

Figure 3



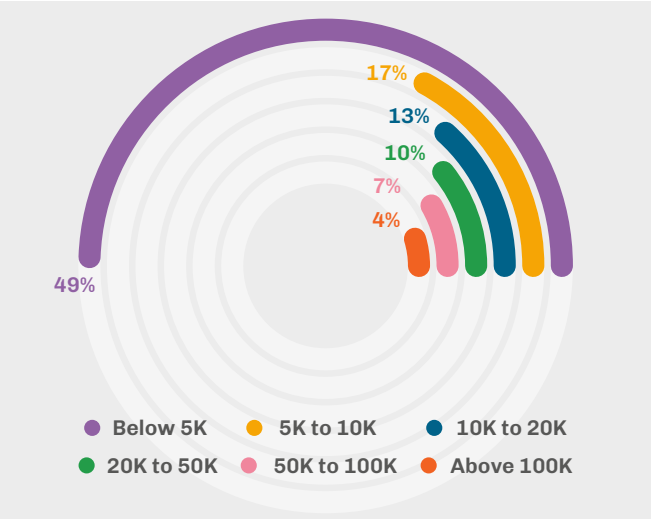

EDUCATION LEVELS AMONG FEMALE RESPONDENTS

## 4.4 Income trends among respondents

Overall male respondents in the sample earn more than female respondents. Figure 4 shows that 49% respondents have monthly income of less than PKR 5000 per month and few fall into the income brackets ranging between PKR 5000 to 10,000 and PKR 10,000 to 20,000 i.e. 17% & 13% respectively. Most of the students are either doing part time jobs or freelancing hence, income is relatively low and unstable. Only 4% respondents out of the total respondents earned more than PKR 100,000 per month.

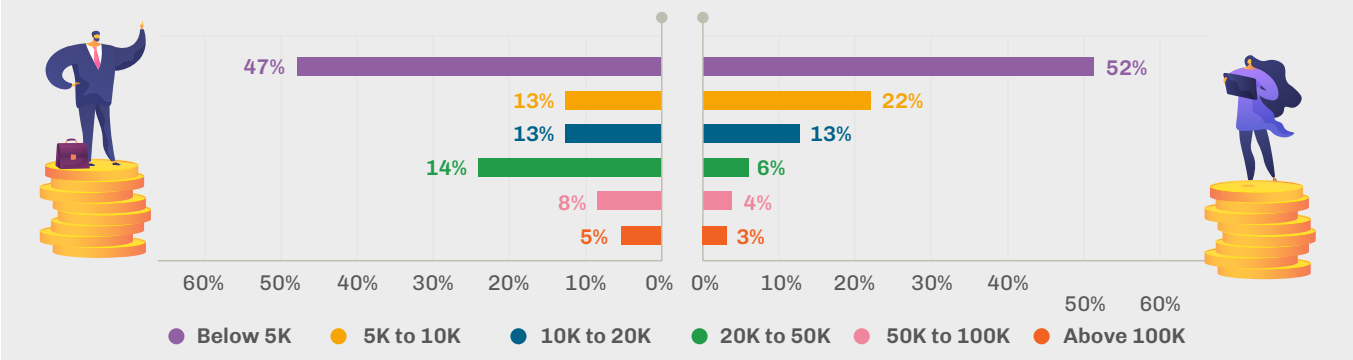
Data reveals that per month income of male respondents is higher than female respondents. In the higher income brackets, i.e. PKR 20,000 to 50,000 and PKR 50,000 to 100,000, the income gap between males and females further increases. Number of male students with monthly income of PKR 20,000 to 50,000 are twice as many in comparison to females who are getting the same monthly amount. Since more males fall into higher income brackets, their ability to save also increases significantly, as they have more funds available.

Figure 4




COMBINED DISTRIBUTION OF MONTHLY INCOME

Figure 5

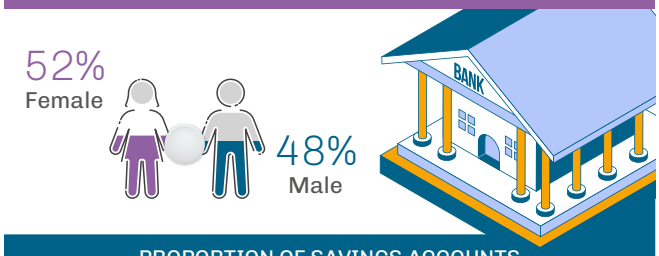



MONTHLY INCOME OF MALE AND FEMALE

## 4.5 Saving Behavior among surveyed population

Although men have higher monthly income in comparison to females however, females own more saving accounts reflecting an important behavioral pattern, which is their interest in saving. As shown in figure-6, out of 164 saving accounts, females own 52%, while males own 48%.

Figure 6

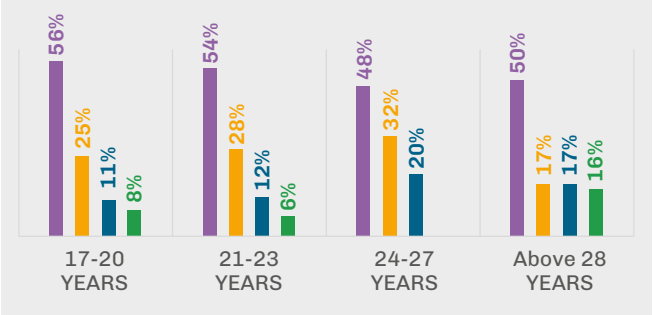



PROPORTION OF SAVINGS ACCOUNTS HELD BY DIFFERENT GENDERS

## 4.6 Monthly savings amounts among respondents

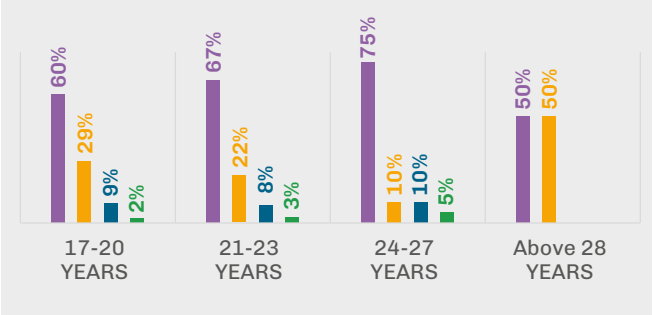
As depicted in figures 7, 8, majority of the male and female respondents between the ages of 17 to 23 years can save up to PKR 5000 per month. There are respondents who are saving between PKR 5000 to 10,000 and even above PKR 20,000 per month however, it's a very small percentage. Males who are saving PKR 20,000 per month are much greater than females who fall in the same age bracket. Very few people falling in the age bracket of 24 to 27 years are able to save a significant monthly amount.

Figure 7




MONTHLY SAVINGS ACROSS SURVEYED MALE AGE GROUP

Figure 8

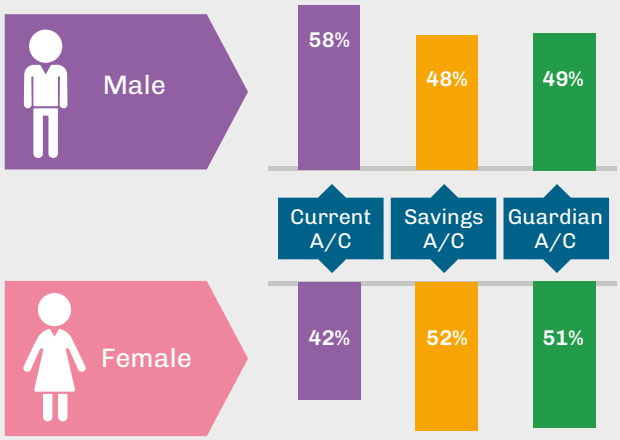



MONTHLY SAVINGS ACROSS SURVEYED FEMALE AGE GROUP

## 4.7 Bank account ownership

Figure-09 illustrates the ownership of different types of accounts by males and females. Among respondents, current accounts in a traditional bank are the most popular, out of the total current accounts , males own 58% current accounts whereas females own 42% . In contrast, the gap narrows for savings accounts, where female ownership is more prominent. Out of 314 women surveyed, 27% have a savings account and out of 382 men surveyed, only 20% have a savings account. Guardian accounts are less popular among respondents, comprising only 68 of the total 679 bank accounts, which is 10% of the total. Of these 68 guardian accounts, 49% are owned by males and 51% by females.

Figure 9

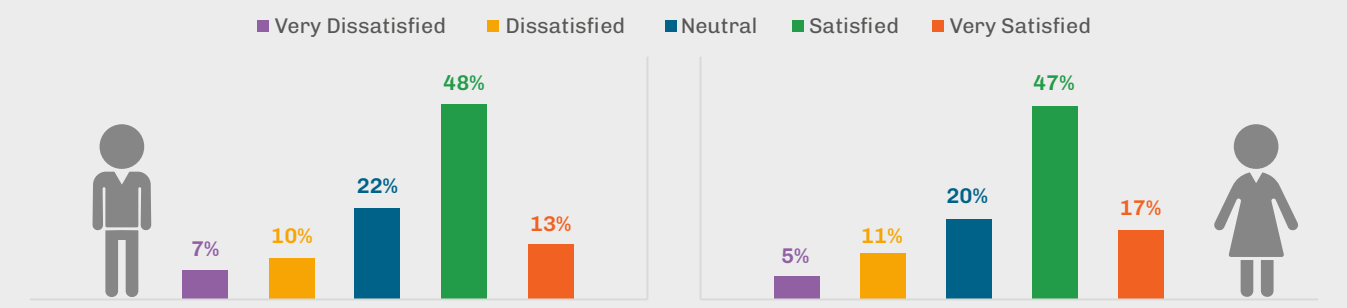



GENDER- BASED DISTRIBUTION OF BANK ACCOUNT TYPES

## 4.8 Mobile wallet experience

As illustrated in Figure 10, 419 out of 671 respondents—approximately 62% of the male and female respondents are satisfied with mobile wallet experience. Gen Z is largely satisfied with mobile wallets for several reasons due to alignment of these digital tools with their lifestyle and financial needs. Features like customized women debit cards, online discounts offered by these mobile wallets, availability of multiple payment options such as payment for gaming vouchers, ticket purchase, M-Tag payment, payment to ride hailing apps etc add convenience in the life of youngsters. Instant access and convenience of use fits perfectly with their fast paced and tech savvy lifestyle.

Figure 5



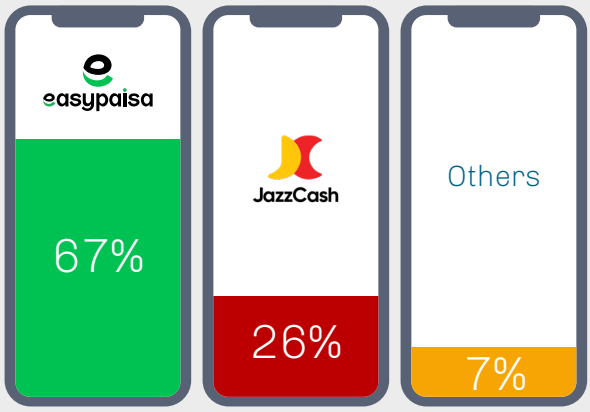

GENDER AND LEVEL OF SATISFACTION WITH MOBILE WALLET APPLICATION

As shown in the figure, 67% of respondents identified Easypaisa as their preferred mobile wallet application, followed by JazzCash with a 26% share. Many students also reported using multiple mobile wallet accounts, as different platforms cater to distinct needs.

Easypaisa is widely used for its diverse features, including bill payments, mobile top-ups, and access to savings accounts. Meanwhile, JazzCash is popular among freelancers due to its partnership with Payoneer, which facilitates payments from freelancing platforms such as Upwork and Fiverr.

For freelancers, seamless access to international payments is a key factor in choosing a financial service. SadaPay is another option that offers convenience for international transactions, with simplified processes, competitive exchange rates, and minimal transaction costs.

Figure 11

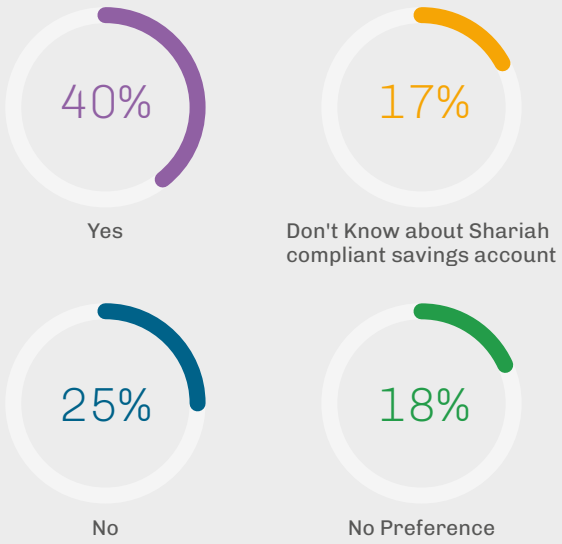



PREFERRED MOBILE WALLETS AMONG SURVEYED POPULATION

## 4.9 Shariah compliance

Figure-12 shows that out of total 696, 40% of the respondents suggested that Shariah compliant saving account is an important consideration whereas 25% do not consider it crucial. Hence, according to data there is a preference for Shariah compliant products.

Figure 12




RESPONDENTS PREFERENCE REGARDING SHARIAH COMPLIANT SAVINGS ACCOUNT

# 5. SAVING ASPIRATIONS

Saving is a critical component of personal finance, and it involves setting aside a set amount of money for future use. The aspirations for saving could be different such as buying a gadget, going on a vacation or having an emergency fund to deal handle any unexpected situation. As indicated in the data above, Gen Z aims to save Rs 5000 to Rs 10,000 per month for various reasons, which are identified in the next section. These amounts reflect a trend of micro savings amongst youth.

Micro savings is a new and popular option that helps individuals with limited income to invest in small ventures and utilize their funds effectively. With digital banking, this concept can now be accessed by the masses, especially for people aged between 18 to 35. Digital banking allows people with low incomes or irregular cash flows to develop financial resilience by investing in small-scale profitable schemes[14]. By lowering the barrier to entry and ensuring ease of access, digital banks can encourage young individuals to save efficiently and build assets over time.

A case in point is Britain's Digital Bank, Monzo that has allowed its users to invest from as low as GBP 1. Monzo has over 8 million customers across the UK and with the introduction of Investment Pot feature; the digital bank will enable users to invest in funds with different risk levels varying from careful to adventurous. The feature allows users to change the amount invested or withdraw invested amount at any time. However, the feature will only be visible to eligible customers and not to those who are lagging on debt repayments[15].

Digital Banks in South Africa also known as Challenger Banks are also creating opportunities for micro savers. Examples of such banks include Tyme Bank and NU Bank where the latter is targeting young savers and investors in the country and has created a separate app for investments called NuInvest. All transfers from NuBank to NuInvest are free of cost and money can be digitally invested into stock market. These banks are particularly tapping into saving psyche of individuals and have introduced small features, which will encourage young generation and salaried class to save more. An example is "NuBanks Little Box" feature, which allows users to save for various purposes. Each box is made for different plans; the reason for saving this amount becomes clearer, encouraging users to get to saving goal faster. Additionally, to ensure that money does not remain stuck inside the Little Boxes, they have investment possibilities, pre-suggested by Nubank according to customer objectives and how soon they intend to withdraw[16].

## 5.1 Reasons to save

The reasons for savings amongst both genders differ slightly as shown in Figure 13 and 14. The primary reason for saving for male and female students tend to be the same, which is for emergency purpose. 32% of the male and 29% female respondents identified that they save for an emergency fund to address unforeseen circumstances. Other reasons include education and travel. Twice as many females are interested in investing for future compared to males.

This implies that females have greater inclination towards long-term investments that could benefit them in later stage of life whereas males are more focused towards short term saving goals which could help them to either fund their education or buy assets.

[14] *Ndung'u, N., & Oguso, A. (2021). Microsavings: A New Opportunity for Small Ventures and Resource Utilization. Journal of Financial Inclusion and Microfinance, 8(2), 89-104.*

[15] *https://www.cnbc.com/2023/09/12/britains-4point5-billion-digital-bank-monzo-debuts-investments-feature.html*

[16] *https://blog.nubank.com.br/caixinhas-do-nubank/*

Figure 13

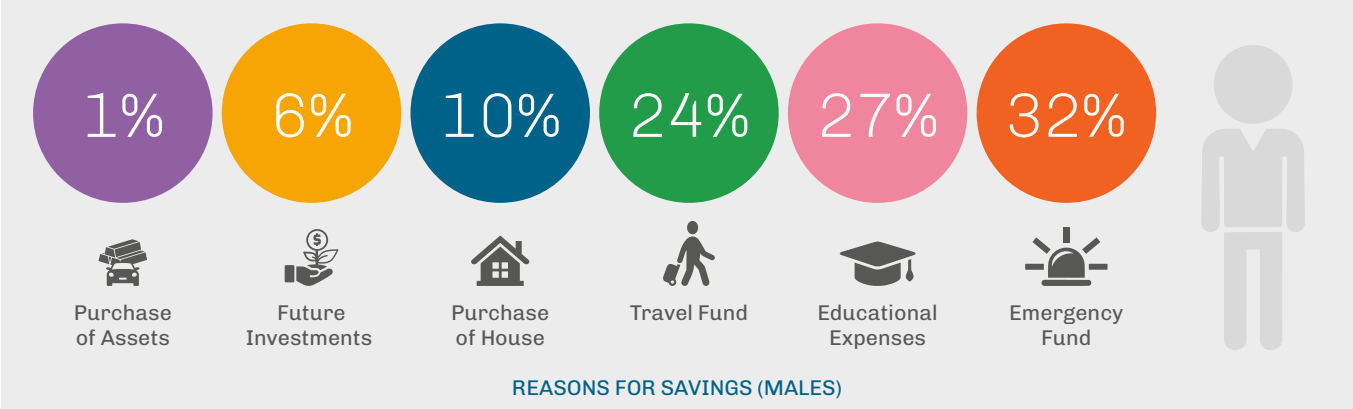
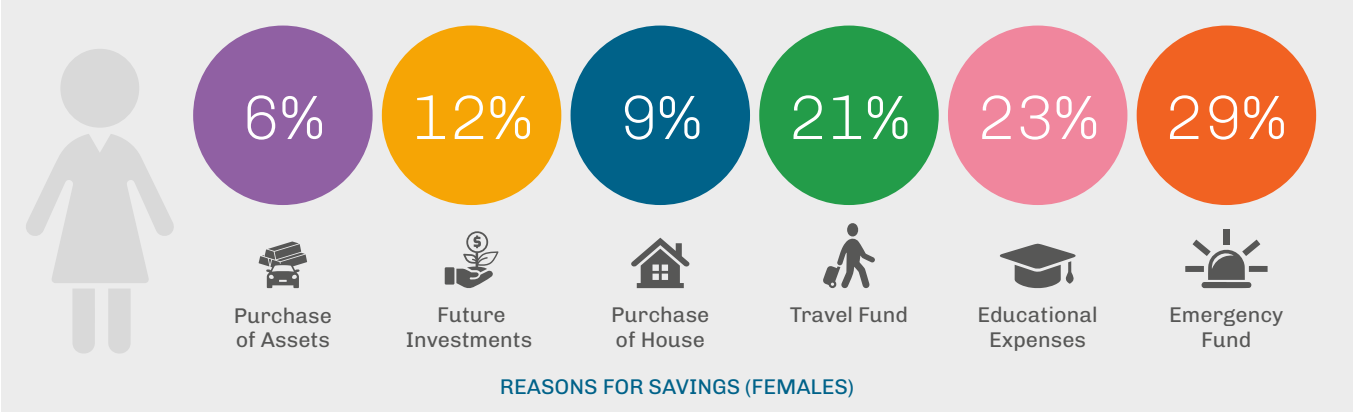



Figure 14




## 5.2 Barriers to saving

Barriers to savings vary between males and females, influenced by different financial challenges as shown in Figure 15 and 16. For males the primary obstacles include high inflation, living expenses, 57% males are unable to save due to soaring living expenses, and 25% are not able to do so due to insufficient income streams. On the other hand, women often encounter challenges such as limited financial opportunities, which contribute to lower income levels. Impulse spending is also a significant barrier for women, with twice as many women citing it as a major obstacle to saving compared to men. Another key issue is the lack of financial education, as many women are unfamiliar with various saving options and financial products. This gap in knowledge and access limits their ability to save effectively.

Figure 15

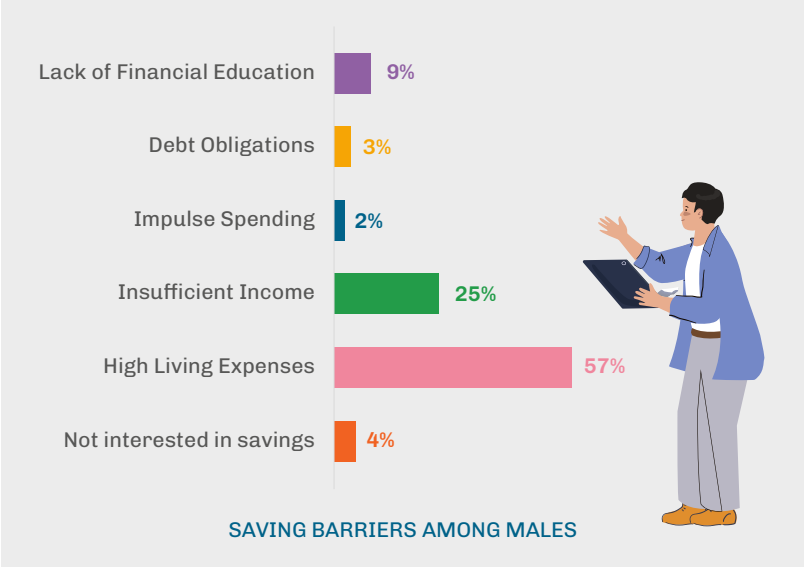
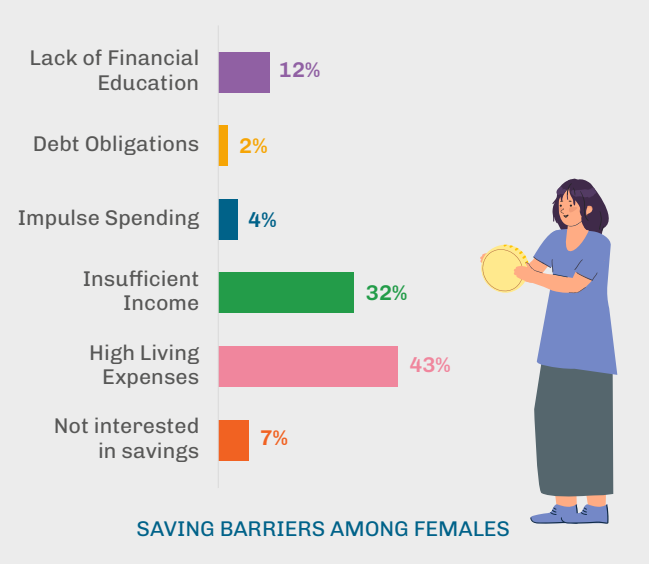


Figure 16




## Recommendations:

Awareness of various financial products is essential to reduce these barriers and make youth more aware about effective saving strategies. Digital banks need to leverage data in order to first understand the financial needs of Gen Z. Various organizations such as NADRA, SECP, asset management companies, commercial banks and digital banks should cross collaborate to eliminate roadblocks towards savings, KYC should be smooth, and transparency should be ensured at all times.

The integration of chatbots represents a crucial advancement in enhancing Gen Z's financial literacy. International digital banks have implemented chatbots that assist consumers in making informed and sound financial decisions[17]. Revolut, a leading digital bank in England, has launched a Robo-Advisor to automate savings. The new product offers valuable information on savings options, making it accessible to individuals with little to no background in finance or trading. This simplifies the saving process, making it both easy and convenient[18]. Additionally, artificial intelligence and machine learning can be leveraged for predictive analysis, helping users forecast upcoming expenses and determine the minimum amount they should save each month.

Similarly, bite size content such as short videos or tutorials, which range between 60 seconds to 120 seconds can be introduced within the financial app to make the users understand basics of savings and investing. Some mobile wallets such as Jazzcash and Easypaisa already have this feature available. Meezan Bank has also added such informative videos on their website to enhance user understanding on mutual funds.

Another effective way to encourage Gen Z to start saving small amounts is by incentivization. For example, Easypaisa is offering savings accounts, which provides daily profits, a small percentage is added to the principal amount every day and users can see the increase. Other digital banks need to play on the same principle of either providing small incentives to users on reaching a particular savings goal or addition of daily profits, which could show Gen Z the real time change in their deposits and encourage them to save additional amounts. These banks should not just target Gen Z but Gen Alpha (children born after 2010) as well. They can replicate international models whereby children are given ownership of their accounts from a young age i.e. 11 to 15 years. Children can have independent accounts along with their own credit and debit cards. This would increase the sense of ownership amongst children and enable them to educate themselves about saving early on. In return, digital banks can target a new audience base and build a deposit base as no other commercial bank is close to offering such a proposition.

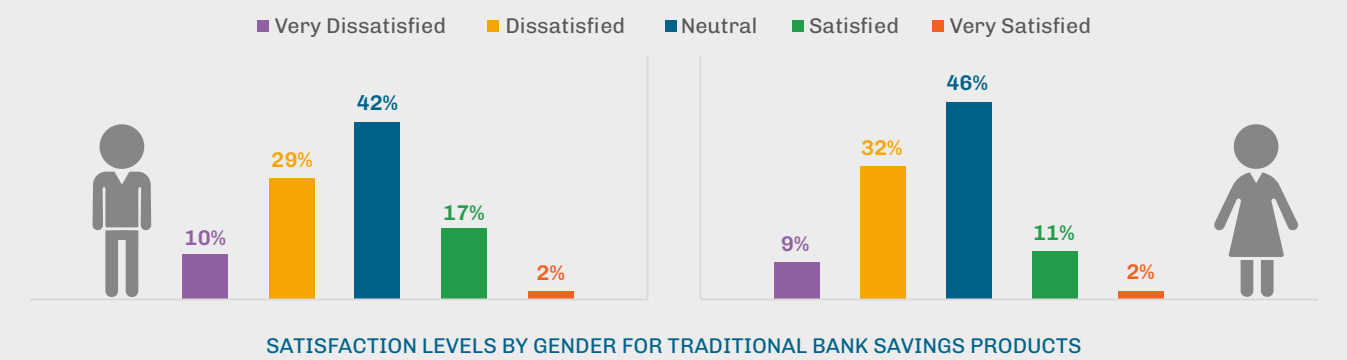
## 5.3 Satisfaction with saving products

As per Figure-17, many respondents expressed neutrality or dissatisfaction with current saving products being offered by traditional banks. The key reason being that these products are not customized according to the needs of Gen Z and offer little flexibility. Limited features, cumbersome account management and lack of transparency contribute towards making the overall experience of youth rather disappointing. Survey highlights that only 17% males and 12% females are satisfied with the current product offerings, which indicates that there is significant room for improvement.

[17] *Au, C., Klingenberger, L., Svoboda, M., & Frère, E. (2020). The Impact of Chatbots on Cash Flow and Savings: Insights from Digital Banking. Journal of Financial Technology and Innovation, 7(2), 123-140.*

[18] *https://www.revolut.com/en-EE/news/revolut_launches_robo_advisor_in_eea_to_automate_investing/*

Figure 17




SATISFACTION LEVELS BY GENDER FOR TRADITIONAL BANK SAVINGS PRODUCTS

## Recommendations:

Digital banks in Pakistan can adopt international best practices to address this loophole and offer convenient and innovative saving products. With current technological evolutions, Korea has emerged as a top contender for adopting digital banking. Case in point is of South Korea's K-Bank

As of now, K-Bank continues to play a significant role in shaping the digital banking landscape in South Korea. K-Bank's product, Kakao Pay is a leading mobile payment platform with over 39.4 million users in December 2022, according to experts estimate that 3 in every 4 South Koreans use Kakao Pay[19].

K-Bank continuously updates its innovative range of products to provide services tailored to the needs of its tech savvy customer base. This includes their online saving account options, microfinancing opportunities, and insurance products. All these facilities are available through the bank's digital platform for users throughout the country. According to the Bank's website, it is offering a variety of innovative saving solutions to its customers. These include 26-week Installment Savings Plan, Journal Account to keep track of all savings and investments, Piggy Bank and Group Accounts to encourage group saving behavior. The bank offers different types of saving accounts catering to various needs of the customers[20]. Some of these include:

a. **Dream Savings Account:** Dream Savings Account aims at helping customers achieve their financial goals. This account may offer special incentives or higher interest rates to encourage customers to save towards specific goals, such as travel, education, or purchasing a home.

b. **Flex Savings Account:** The Flex Savings Account is a flexible saving option that allows customers to deposit and withdraw funds without penalties. This account offers lower interest rates compared to traditional savings accounts but provides greater liquidity and convenience.

c. **Safe Box -** To manage extra funds in each account by creating a safe box, it is an efficient asset management tool as it provides daily interest.

d. **Premium Savings Account:** This account offers exclusive benefits or perks to customers who maintain higher balances or meet certain eligibility criteria.

e. **Youth Group Savings Account:** Kakao Bank offers young individuals such as students or young professionals to save collectively as a group. This account allows an individual's Kakao Talk friends to become a part of the account, even those who do not have an account can join this specific account and the limit is up to a 100 members. At the same time, all members can view balance and transaction records allowing transparent fund management.

Another example is China's WeBank, which focuses on personalized saving goals and develops products tailored to the needs of Gen Z. WeBank launched We2000, a centralized account that can be linked to WeChat Pay and other channels for use. The account includes a backup fund feature, allowing users to activate a reserve payment function if their balance is insufficient for a transaction. The reserve amount is used to complete the payment.

[19] *https://www.statista.com/statistics/1128321/south-korea-number-of-kakaopay-users/*

[20] *https://eng.kakaobank.com/*

This centralized account will also leverage data from WeChat Payment and use AI to provide personalized saving objectives to users based on their expenditures. The platform can offer group savings option as well where multiple individuals could work towards a common goal[21]. Through the We2000 account, WeBank is also planning to tap into the younger audience base particularly Gen Z by introducing virtual goal-based saving plans as the new generation tends to have a structured approach towards savings along with having the ability to visualize their goals[22]. Through this plan, youngsters can set any customizable goal for a duration of 1 to 12 months and let the bank save for you through auto debit feature. The user specifies the financial target.

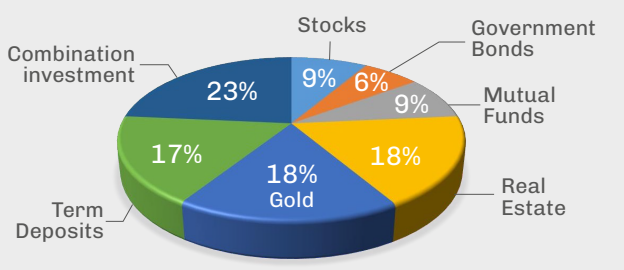
# 6. INVESTMENTS

While savings are usually limited to achieving short-term goals, investment is done for long term financial planning. Investing is a way to grow your money over time by putting into work financial instruments such as stocks, mutual funds, bonds or assets. However, the risk could be higher for investments but the potential to earn higher returns over time also grows. This section highlights the investment preferences of Gen Z, obstacles to investments and suitable investment options for Gen Z according to their income brackets.

## 6.1 Gender based investment preferences

Preferences for investment vary according to gender, age and income bracket. In Figure-18, males, key investment avenues remain real estate and gold as these are seen as high return investments. They prefer making a combination of investment and don't intend to stick to one sector only. Diversity in investment portfolio is crucial for them. 23% of males prefer combination investments, which includes multiple investment options including stocks, property, mutual funds and gold.

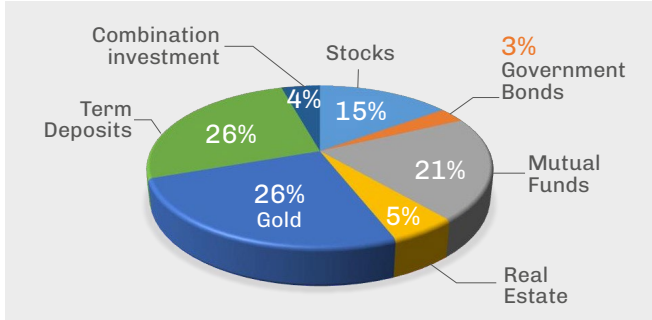
Figure 18




INVESTMENT PATTERNS IN MALE DEMOGRAPHICS

Figure-19 illustrates that for females, the investment purposes are a bit different. They prefer investing in low-risk options such as term deposit and mutual funds. As identified earlier, females are more inclined towards investing for the future hence these two options meet their needs. Gold as an investment product is popular in females too because it is a reliable tangible asset for them. Females do not intend to invest in multiple options at once hence the percentage of females who prefer combination investments is just 4%. The combination investments for females mainly include gold and term deposits. Overall, females do not prefer having a diversified investment portfolio rather intend to stick to few reliable options.

Figure 19




INVESTMENT PATTERNS IN FEMALE DEMOGRAPHICS

## 6.2 Income brackets and investment preferences

Investment preferences greatly differ across various income brackets amongst males and females according to Figures 20 and 21.

[21] https://inf.news/en/economy/e33855fe53516a9e904da059f7574fa3.html

[22] https://www.mckinsey.com/~/media/mckinsey/featured%20insights/china/the%20future%20of%20digital%20innovation-china.pdf

Males who are earning less than PKR 5000 are inclined towards investing in stocks or mutual funds whereas for females who fall in same bracket and who are in the PKR 5000 to 10000 income bracket, gold and mutual funds remain a key preference. For the the higher income brackets mainly from PKR 20,000 to 100,000, inclination of males to invest in stocks drops significantly and greater interest is shown in mutual funds, gold and real estate. For females, gold remains a key investment option amongst all income brackets. Hence for micro savers two investment streams are important i.e. stocks and gold, innovative options to invest small amounts into these sectors need to be introduced to encourage more young savers.

Figure 20

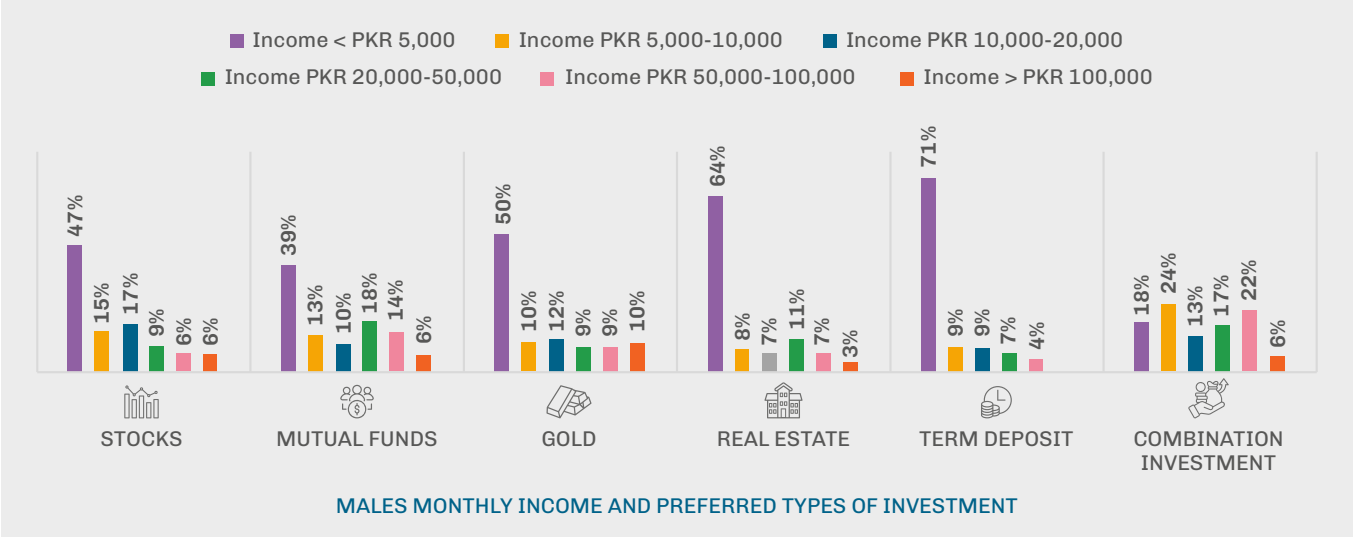
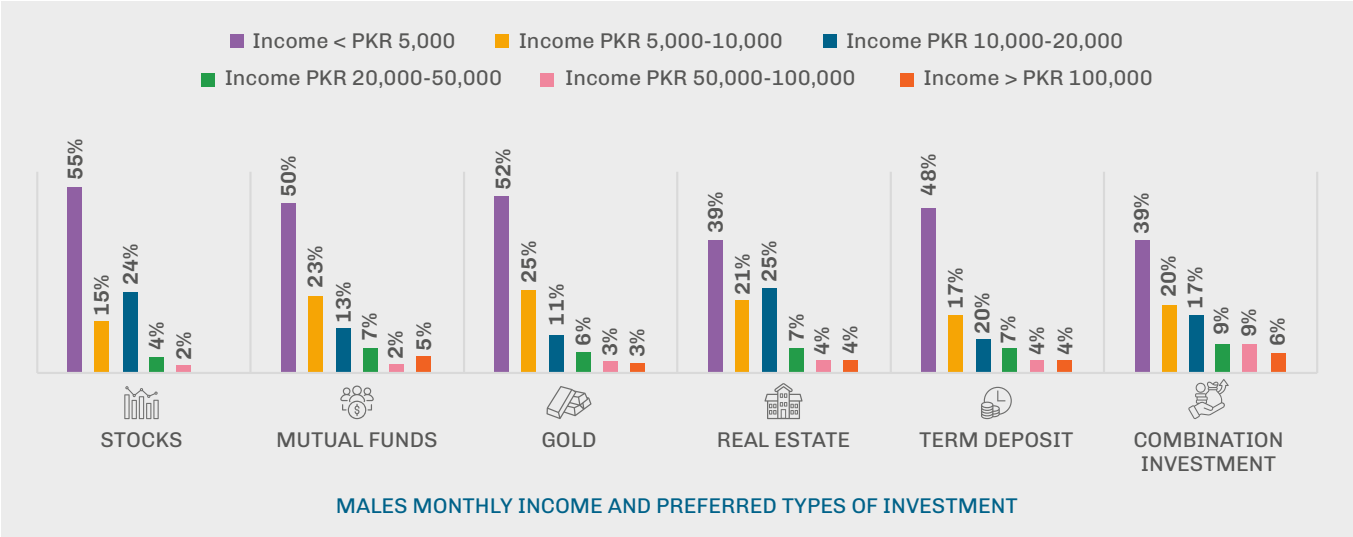



Figure 21



**Recommendations:** Indian neo banks or digital banks formed various alliances and partnerships with different industries to offer lucrative investment options to millennials and Gen Z. These neo banks are primarily focusing on teenagers, which form 250 million of the population, and millennials, which comprise of the largest age group in India approximately 400 million. In 2021, together, Gen Z and millennials formed 52% of the population[23]. Neo banks have realized the growing significance of this population section and are therefore, introducing innovative methods of savings and investments for youngsters and salaried class individuals by leveraging technology and understanding specific needs of their target market.

Case in point is India's Niyo digital bank[24], which offers convenient access to financial services i.e.

a. Access to a zero-balance salary account that provides up to 7% interest and rewards on each salary credit.

b. Niyo Money Account – An investment platform integrated into Niyo app, allowing users to invest in mutual funds, insurance and stock market digitally through a single window.

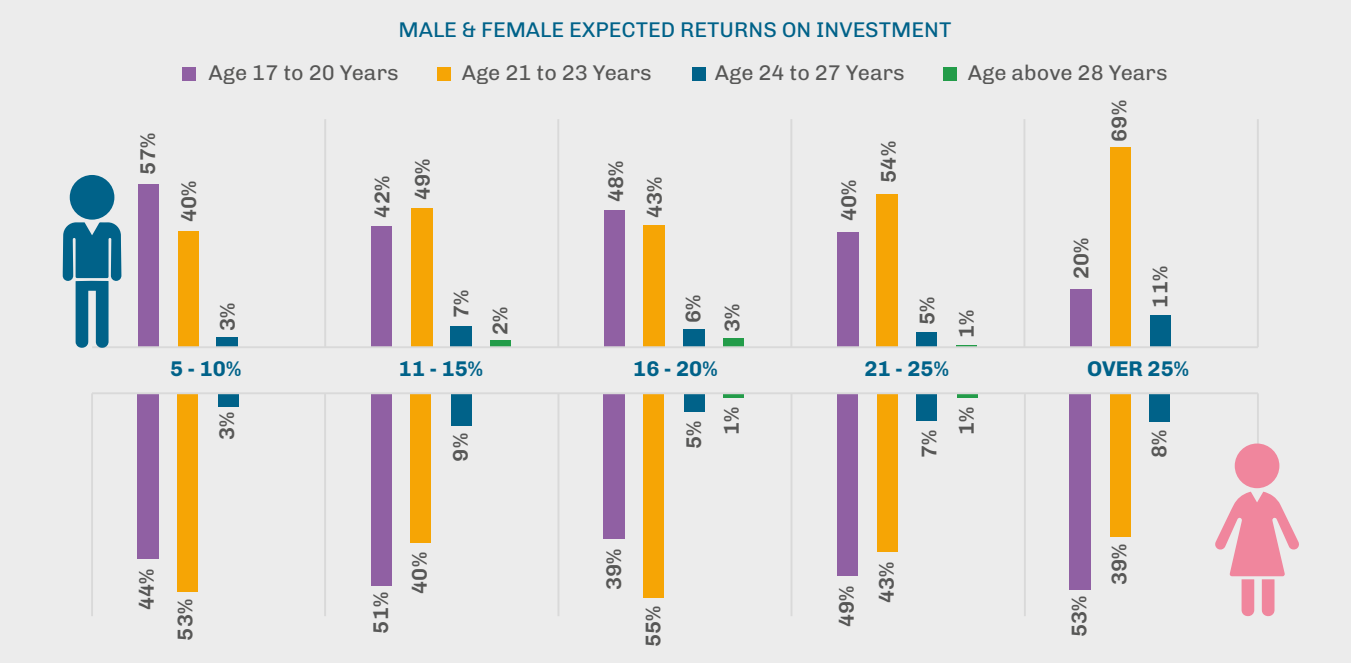
c. Access to exchange traded funds, which are investment funds, traded on stock exchanges, enabling individuals to diversify their portfolio.

In addition to savings accounts, digital banks in India also offer a variety of investment products to help customers grow their wealth. Paytm Money, the investment arm of Paytm, provides users with access to mutual funds, stocks, and digital gold, allowing them to invest in diversified portfolios and achieve their financial goals[25]. Neo banking platforms also offer options of equity trading services, which allow users to buy and sell stocks, listed on the stock exchange. Regulatory support from Reserve Bank of India (RBI) for fintech initiatives has created a conducive environment for digital banking innovation in the country, empowering masses to improve their economic conditions by investing in smart saving schemes with convenience[26].

## 6.3 Expected Return on Investment

According to Figure-22, almost 50% of the males between the ages of 17 to 20 years expect an average return rate of 16% to 20% on their investments. For males who are above 20 years in age, also known as emerging professionals, the expected return on investment is 21% to 25%.

Figure 22 - 23




[23] https://bvicam.ac.in/webinars/nasscom-Indeed-fow0-gen--millenials-16-dec-2022-Final_0.pdf

[24] Ibid

[25] Paytm Money official website

[26] RBI Annual Report 2020-21, Chapter 1: Banking Developments, August 2021

On the other hand, females who are below 20 years expect a higher average return rate which ranging from 20% to 25% whereas maximum number of females who are 21 to 23 years old, expect a return rate of 16%.

Currently, there are very few investment options in Pakistan offering such high returns. Term deposits provide an average return rate of 16% to 18%, while high-risk mutual funds offer returns of up to 15%. While mutual funds are generally more beneficial for long-term investment, Gen Z tends to seek quicker returns and often prefers high-risk options like crypto currency and stocks

**Recommendations:** To meet the evolving needs and investment preferences of Gen Z, digital banks must introduce more flexible, quick-to-invest options. While commercial banks in Pakistan currently offer high interest rates on term deposits and savings accounts, digital banks should explore new avenues such as gold, stocks, cryptocurrencies, or foreign currencies to attract young micro-investors.

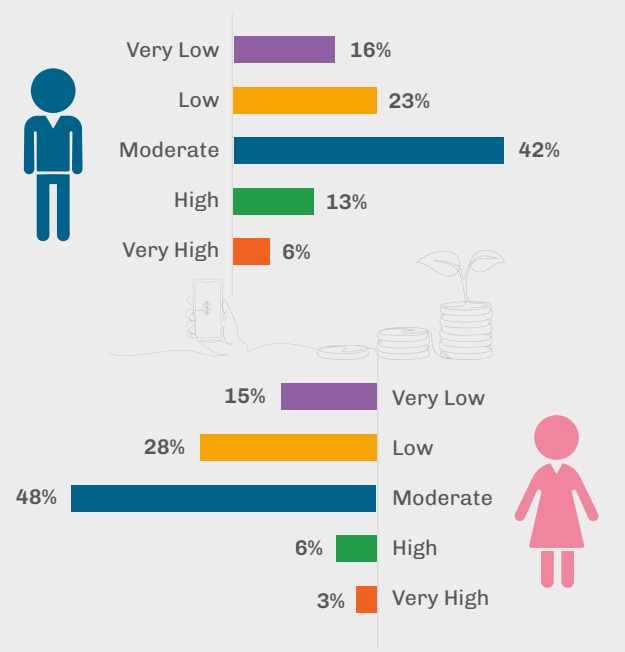
Secondly, if digital banks intend to enhance their deposit base and engage Gen Z via investment products for a longer duration, then it is imperative to educate them about long term financial planning and how they can make their money grow overtime through consistent investments over a certain period. Mutual funds are an example of long-term sustainable investments, the return on mutual funds might be low in the beginning, but it could reap greater benefits for youngsters in the longer run. Like any other investment, mutual funds are subject to price fluctuation, liquidity and credit risks. Based on an individual's risk appetite, they can invest from low-risk funds to high risk funds. The optimal mutual fund portfolio will depend on investments goals of the individual and their risk tolerance. For example, if the individual is looking for higher returns, then equity funds can be a viable option. If the individual is looking to reduce risk, then one will have to seek out for income or money market mutual funds that typically offer lower potential returns.

Similarly, for other investment avenues such as real estate or gold, getting a 16% to 20% return in the first six months is highly unlikely. The risk appetite of the user needs to be enhanced significantly if such return rates are expected. As highlighted earlier, majority of students are willing to invest an amount of Rs 5000 to Rs 20,000 initially, even if they opt for micro investment options such as asset fractionalization in the form of gold or REIT*, the expected return rates could still not be achieved. According to SECP representative, real estate fractionalization and gold fractionalization are still in premature stages hence offering these options as viable investment solutions might be unlikely for the digital banks soon.

## 6.4 Investment Knowledge

One of the major barriers towards investments is lack of financial awareness and understanding. According to Figure-24, 43% males rated their knowledge about the financial market as moderate and 23% rated it as low. On the other hand, 48% females stated that their current understanding related to investment products available in the market is moderate and 28% considered it to be low.

Figure 24




CURRENT LEVEL OF INVESTMENT KNOWLEDGE BY GENDER

**Recommendations:** To increase exposure to various investment products and encourage Gen Z to invest money into these options, digital channels need to be tapped more frequently. Gen Z is the internet generation hence upcoming neo banks would need to keep a razor-sharp focus on platforms like Youtube, TikTok, Instagram from where Gen Z is mainly consuming all their content. Digital banks can come up with 60 second tutorials to introduce Gen Z to the world of stocks or mutual funds. Internationally, specific apps are being designed to increase the financial knowledge of teenagersAn example is the app called Bloom, which features a user-friendly UI/UX designed to make investing simpler and more accessible for Gen Z. The app shows users, such as a teen owning $20 worth of a stock, how concepts like stock splits or price-to-earnings ratios apply to their investment. This approach gives young investors a sense of ownership and encourages them to learn and explore more about investing.

**Real Estate Investment Trusts) are investment vehicles that pool funds to own, operate, or finance income-generating real estate, offering returns to investors through dividends.*

Video content can be developed to educate young investors about various risk factors associated with different investment options. For example, stock prices can fluctuate frequently, mutual funds have different risk levels based on which returns vary. Investment in gold or real estate could involve risks too. A holistic perspective needs to be provided to youngsters regarding investments so they are able to make informed decisions.

Most of the children belonging to Gen Z don't know where to start or how to build an investment portfolio. In such a scenario, digital banks could introduce a step-by-step virtual guide or chatbots who answer investment related queries of the youth only, providing them easy solutions.

## 6.5 Investment Products for Gen Z

### 6.5.1 Investment in Real Estate

Majority of males intend to invest in real estate. Total 83 respondents intended to invest in real estate out of which 81% were males and 19% were females as depicted in Figure-25.

Figure 25

**Recommendations:** Although real estate is a preferred investment choice for many respondents, transparency remains a significant challenge in this sector. While young investors are drawn to its high returns, they often lack awareness of the associated risks. The real estate market, like the gold market, is largely unregulated, increasing the chances of fraud and other discrepancies. As a result, a stable return on investment cannot always be guaranteed. Additionally, the volatility of the real estate market, influenced by the country's economic conditions, puts young investors at a higher risk of losing their money, potentially discouraging them from investing in the future.

An effective way to address this challenge is through collaboration between digital banks and Real Estate Investment Trusts (REITS) whereby youth can directly invest into REITS though their digital accounts and see the progress of their investment over time.

REITS are trusts, which distribute 90% of their taxable income as dividends to shareholders. By investing in a REIT, investors gain exposure to a diversified portfolio of real estate assets, which can include various types of properties across different locations. These can provide high dividends to investors. An example could be Dolmen City REIT, which was the first, and currently the most prominent REIT in Pakistan. It was launched in 2015 and is primarily focused on commercial real estate, particularly the Dolmen Mall and The Harbour Front in Karachi.

This is a viable investment option for the youth because they can start from a small amount and begin to receive dividends over time. However, achieving return of 16% to 20% from REIT within a year is not a possibility and returns increase over time and based on the amount invested.

### 6.5.2 Investment in Stocks

Total 77 respondents intended to invest in "stocks" out of which 58% were female and 42% were male as shown in Figure-26. For females, stocks remained a popular investment option in comparison to males.

Figure 26

**Recommendations:** The process of investment in stocks needs to be simplified to attract youth towards this avenue. Account opening with a brokerage firm needs to be simple and integrated with digital banks. The first roadblock is KYC. Only 8 to 10 commercial banks are currently sharing data for KYC with brokerage firms for account opening purposes whereas most of the users must submit all the documents from scratch to open an account with a brokerage firm. Gen Z is not willing to replicate these efforts and requires swift integration with their digital accounts so they can make investments in a variety of stocks through a single click without wasting time on excessive KYC.

Secondly, digital banks need to collaborate with entities like Pakistan Stock Exchange to conduct mass awareness programs to address common myths about investments. Students need to be educated that they can start investing in stocks with amounts as low as PKR 5000 and can determine their risk appetite as well on the capital amount invested.

### 6.5.3 Investment in Mutual Funds

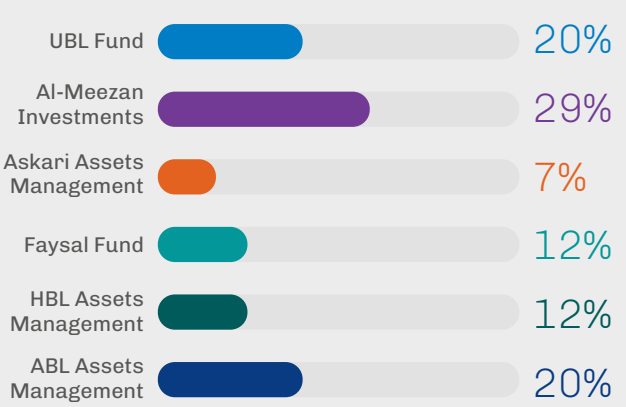
A total of 182 respondents invested in mutual funds, with 54% being male and 46% female. This indicates a greater inclination among males towards investing in mutual funds compared to females, as illustrated in Figure 27. Primary reason being that mutual funds are low risk or safe investments where the capital amount mostly remains intact.

Figure 27

GENDER DISTRIBUTION IN MUTUAL INVESTMENTS

A total of 288 respondents invested in mutual funds, distribution is illustrated in Figure 28. Most preferred mutual funds for investment purpose were Al Meezan Funds, UBL Funds and ABL Asset Management Funds. Al Meezan Asset Management Company is the largest Shariah compliant organization in Pakistan and as described earlier, since majority of the students prefer making shariah complaint investments hence Al Meezan remains a popular choice. It also offers diversified investment options including equity funds, fixed income funds, and balanced funds, catering to different risk profiles and investment goals.

Figure 28




PREFERRED MUTUAL FUNDS FOR INVESTMENT AMONG RESPONDENTS

Both Al Meezan and UBL Funds have a swift and convenient process of investment whereby investments can be made online through their mobile apps and individuals can automate their investments and reinvest their dividends to grow their portfolio over time.

Al Meezan Funds has integrated with Easypaisa as well and enabled real time purchasing and selling. People can start investing from as low as PKR 500 or PK 1000. Online account opening for investment in mutual funds became relatively easier and one can invest at any time of the day as per his/ her convenience. These factors played a crucial role in encouraging people to make investments in Al- Meezan Funds as the five-step process has been reduced to a single step.

The Securities and Exchange Commission of Pakistan (SECP) has introduced a separate category called Sahoolat Sarmayakari[27] for mutual funds, which eliminates the need for middlemen in the investment process. However, investments through this facility are currently limited to risk-free funds, with no option to invest in high-risk funds. To encourage more students to view mutual funds as a reliable investment option, digital banks should focus on partnerships with leading fund managers, simplify the investment process, and offer a wider range of investment choices, from low-risk to high-risk options.

### 6.5.4 Investment in Insurance Products

Life insurance policies can become a financial asset for individuals just like mutual funds. These life insurance policies allow the owner to build cash value over time. In some cases, users can take cash withdrawals from these policies before the maturation period whereas in others, one can borrow money against it. The amount individuals contribute to the policy over the years, can enable them to borrow with ease against what they've saved, if they encounter any difficult situation. State Life Insurance, EFU Life Insurance, Adamjee Insurance and Jubilee Insurance have introduced many products, some of which are Shariah compliant as well, which can help the individuals invest from as low as Rs 2500 per month. In Pakistan, there are many insurance products that combine life insurance with investment opportunities, commonly known as unit-linked plans. These products allow policyholders to not only secure life coverage but also grow their wealth through market-linked investments.

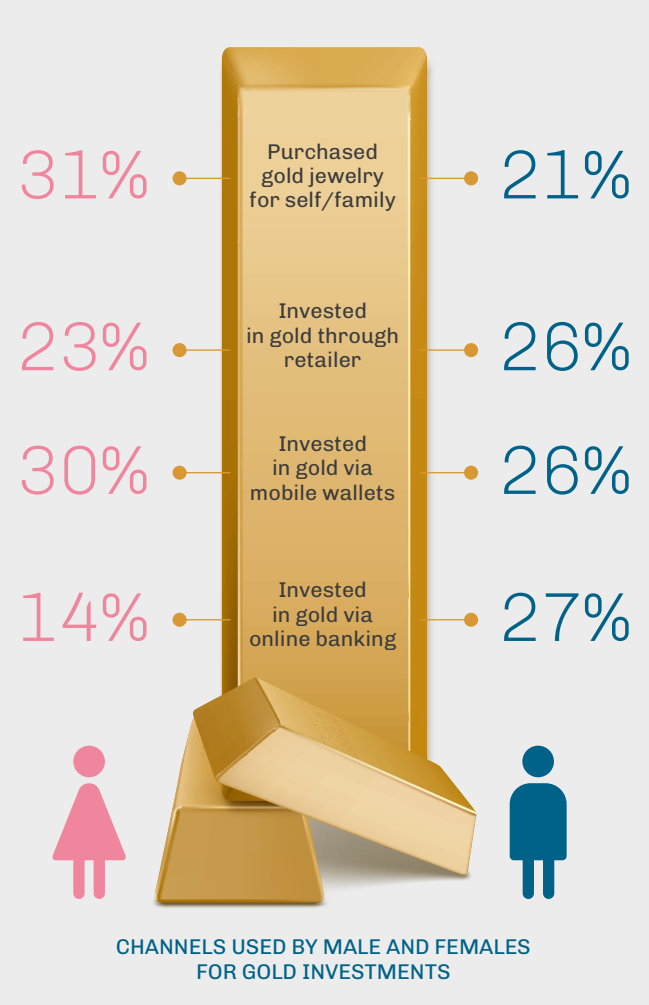
[27] *https://www.secp.gov.pk/?s=sahulat+sarmayakari+*

State Life Insurance's Takaful Savings plan is one such example. Anyone above the age of 18 can have this insurance and it's maturation tenure ranges from 10 to 48 years.

### 6.5.5 Investment in Gold

Gold is a preferred mode of investment for males and females however; the channels through which both the genders invest in this entity are different. As shown in Figure-29, Males prefer investing via mobile wallets such as Easypaisa, which allows individuals to buy fractionalized gold, or through online banking apps as it ensures convenience and speed. As depicted in Figure-30, Females on the other hand prefer buying gold jewellery, 33% females stated that gold in the form of bangles or jewellery piece is their preferred choice for purchase and investment purpose.

Figure 29




Males who are usually falling in the PKR 5000 to PKR 20000 bracket are more interested in investing in gold via mobile wallets, indicating the need to introduce more investment options in fractionalized gold. The income bracket is relatively small therefore; the investment amount would be small as well.

**Recommendations:** Although both male and female respondents have shown great interest for investing gold but a major challenge associated with this form of investment is that it is a largely unregulated and volatile market. People are encouraged to invest in gold because it is a non-taxable entity hence no money trail must be provided but at the same time, the value of the asset continues to increase. Increased investment in gold might be profitable for individuals but will remain a challenge for government unless regulations are in place.

Digitizing investment in gold will not only help the government to regulate this sector but would allow individuals to invest in gold with ease and convenience. An example is Easypaisa who have collaborated with ARY Gold. Through this partnership, Easypaisa users can buy gold for as low as PKR 100. Digital banks should focus on such partnerships and onboard various retailers to ensure micro investments into gold through a transparent process.

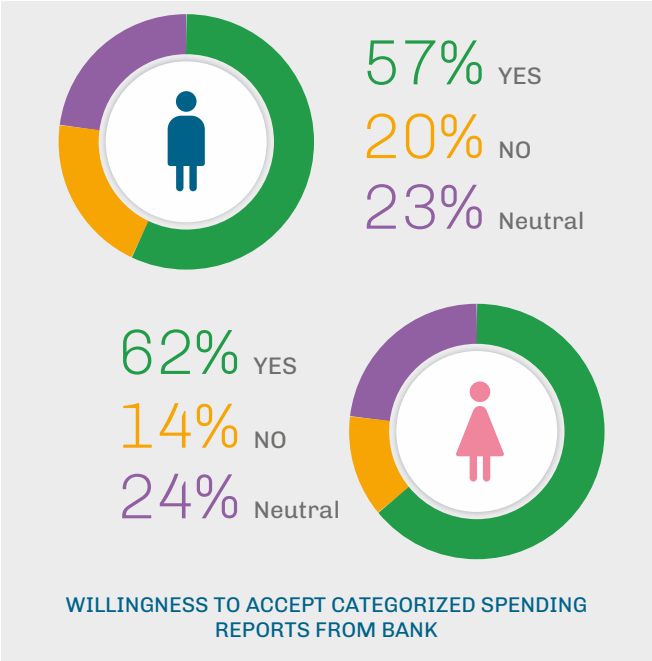
# 7. GAMIFICATION

Innovations in various features is also deemed crucial by the respondents for them to invest more through digital banks. This section discusses various innovations in features that digital banks could work upon to attract Gen Z and millennials. Gamification of these features could boost interest and motivation of Gen Z to save more effectively. Students have shown willingness for introduction of simple variations such as introduction of spending limits, reminders to save via push notifications and automatic transfer of funds to saving accounts as these could help them save without dedicating a lot of time and effort.

## 7.1 Categorized spending reports

As per Figure-31, categorized spending reports have been largely supported by students. 57% males and 62% females are in favor of receiving categorized spending reports, which could help them track their expenses better.

Figure 30




**Recommendations:** Digital banks can leverage machine learning (ML) and artificial intelligence to make these reports more comprehensive and insightful for youth. Predictive analysis through integration of ML could enable users to not only track their current expenses but also get an insight on upcoming expenses adhering to different lifestyle modifications.

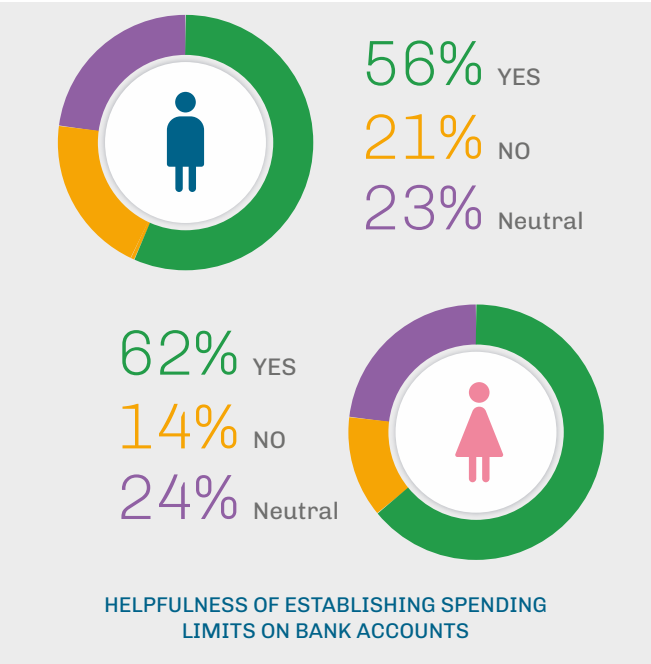
Digital banks could use the data to inform and recommend their customers about different saving and investment plans based on the changing needs of their customers. For example, the needs of a customer between the ages of 18 to 24 will be different from those when he/ she is 30 or 35. Using artificial intelligence or machine learning, Digital banks can assess the data of their users e.g. their ages, increase in income, monthly expenditures and then suggest saving plans accordingly. They can provide users with reports to highlight how their spending habits have changed and what modifications they might need to make to save more effectively in the future.

Another way to make these reports more effective for Gen Z is to focus on visualization of data and sharing key insights with them rather than disseminating excessively long PDFs as Gen Z prefers receiving condensed information in the form of infographics.

## 7.2 Spending Limits

Impulse spending has been identified as a barrier to saving for females hence 62% of the females in comparison to 56% of males have agreed to establish spending limits on bank accounts as per Figure-31.

Figure 31

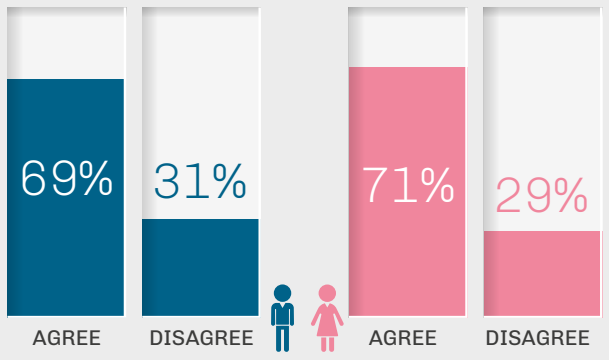


**Recommendations:** The introduction of spending limits could help the youth to address this challenge and save more effectively. Several international digital banks and fintechs have introduced such features, which help users to manage their money. An example is Global fintech, Revolut, which offers in app budgeting features that allow users to limit their spending. It provides insights into spending categories and sends notifications to users when they are close to their limits.

## 7.3 Setting up automatic savings and receiving push notifications

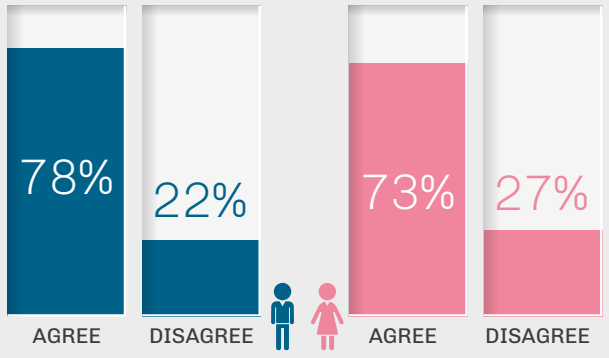
Data in Figure-32 and 33, reveals that respondents are in favor of multiple other feature innovations such as setting up automatic monthly transfer to savings account and receiving push notifications from their banks to alert them about new saving schemes, inform them about investment opportunities or alert them when they are overspending.

Figure 32




WILLINGNESS TO ENABLE AUTOMATIC MONTHLY SAVINGS

Figure 33

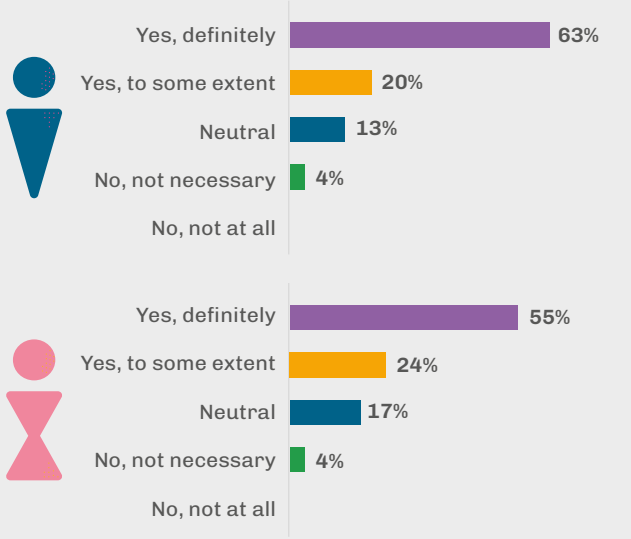



RECEIVE PUSH NOTIFICATIONS FOR SUBSCRIPTION TO SAVINGS PLANS

## 7.4 Reward systems

According to Figure-34, 62% males and 56% females suggested that getting reward points on making successful digital investments or on reaching their desired saving target can prove to be helpful. This model has been highly successful in other industries as well. In the banking industry, Alfalah's orbit reward points have become very popular. Similarly, ride-hailing app, Careem has introduced reward point system, which is gaining traction amongst users.

Figure 34




DIGITAL INVESTMENT PLANS SHOULD INCLUDE REWARDS

**Recommendations:** A way through which digital banks can make reward programs more appealing for Gen Z is to customize them according to the need of the user by leveraging data. If data suggests a particular student is saving for travel purposes, then points can be awarded in the form of air miles, enabling the student to save some cost on the ticket. These modifications will give a personalized touch to the reward program. Secondly, these reward points should have no expiry, so students have a sense of security. An example could be of Jazzcash, which has introduced the idea of redeemable points, and loyalty points through which users can subscribe to bundles. An important spin over to this could be that digital banks allow students to use their reward points for investment purposes, which they have earned after reaching a particular saving target. For example, if a student can save PKR 20,000 in his/ her digital account in one month then the bank offers PKR 1000 as reward, which could be then invested into mutual funds or gold etc. This would give students the confidence to make risk free investments initially and give them an understanding of the investment landscape while the bank gets to increase its deposit base.

# 8. FINANCIAL LITERACY

In-app and virtual guidance could play a crucial role in assisting Gen Z in making informed financial decisions, as illustrated in Figure 35 and 36. Unfortunately, in Pakistan there are not many avenues available to educate youth about various investment options and make them understand the feasibility of these options. If digital banks can introduce such features and provide Gen Z with the tools, resources and real time support they need to navigate the complexities of investment then they will be able to make a loyal customer base.

Figure 35

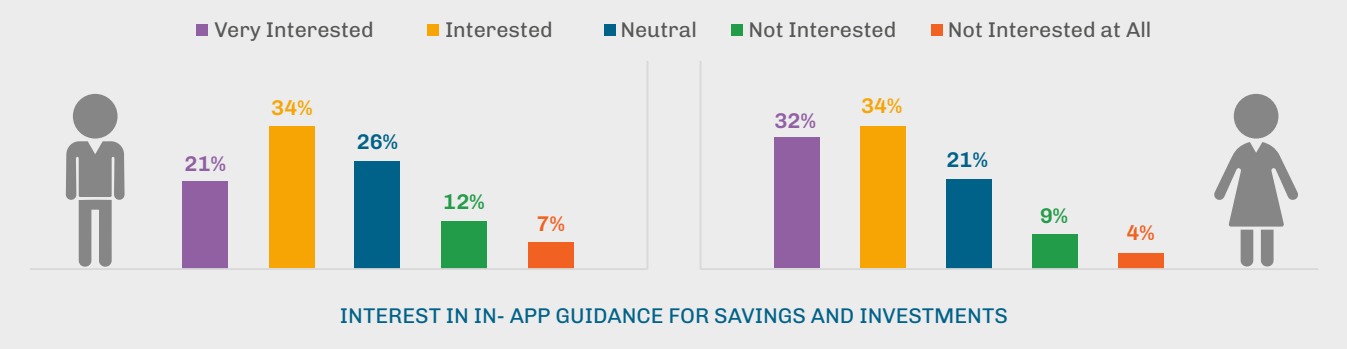
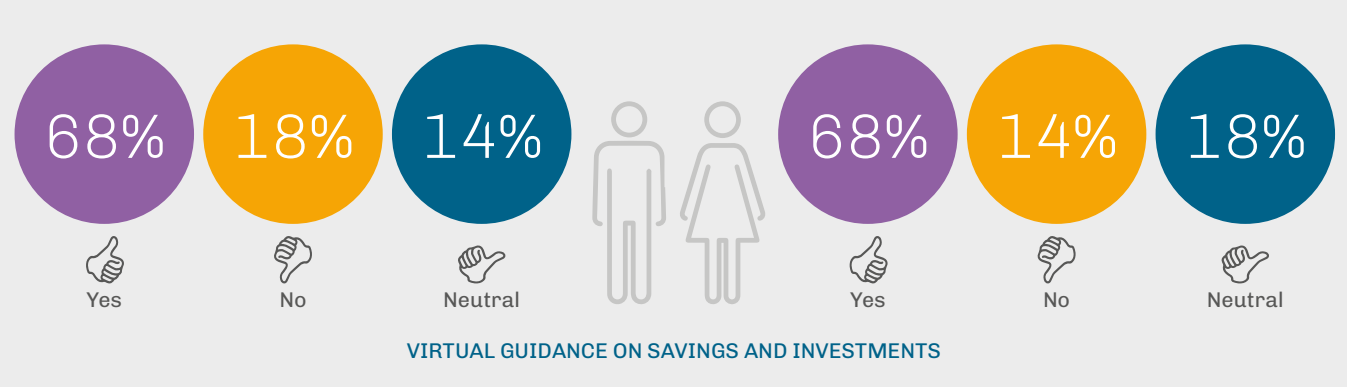



Figure 36




Introduction of robo advisors or virtual financial advisors could enable digital banks to offer quick and convenient responses to all investment related queries of the youth. UK's Monzo's Bank has collaborated with other financial platforms and apps such as Nutmeg to offer users access to investment services and insights. Through these collaborations, users of Monzo can receive tailored financial advice and start investing with low amounts. Digital banks in Pakistan need to replicate such models and forge partnerships with various national and international platforms to provide a more customized experience to users.

Some of the mobile wallets in Pakistan such as Jazzcash and Easypaisa are already providing in-app guidance and have tutorials available. To enhance the virtual learning element, gaming could be introduced as an option since it will make learning more interactive and engaging for youngsters. Gen Z will least likely be interested in reading long form blogs or documents therefore, alternative immersive options could be an ideal tool for digital banks. At the same time, there is an information overload on Gen Z as well as there is all sorts of information available online hence regulator needs to take crucial measures to ensure that students are provided with authentic information, so they don't fall prey to scams while opting for investments. Introduction of simple features such as push notifications could serve as an important reminder and motivation as validated by data as well.

# 9. KEY RECOMMENDATIONS

## 9.1 Flexible and low-cost investment options

To attract Gen Z and millennials, digital banks should introduce customized investment products, keeping in mind the financial standing and requirements of this generation. Flexibility and affordability of investment products are two key features, which will attract youth. Offering micro-investment features can help young users start investing with minimal amount. Secondly, digital banks can introduce specific investment accounts, which have zero or minimal fees to lower barrier to entry for youth and encourage them to open more such accounts.

## 9.2 Industry collaborations

Cross collaboration with various organizations and industries is pivotal for digital banks to provide innovative saving and investment solutions to Gen Z. These include stock market, asset management companies, wealth management companies, gold retailers, and even other fintechs and mobile wallets. If these banks provide more diverse options to the youth, then there are higher chances of establishing a loyal audience base.

## 9.3 Tech integration

Integration of AI and machine learning is crucial to meet the needs of this tech savvy generation, whether it is using machine learning for predictive analysis to navigate changing spending habits or introducing robo-advisors to optimize investment portfolios based on user preferences. Technological innovations will create value for Gen Z motivating them to invest in more products based on factual insights and information.

## 9.4 Integrated financial management tools

Another way to encourage youth to invest is to provide financial management tools within the digital account. These tools could help users see the exact level of their savings and then provide recommendations for various investment options. Additionally, these tools can showcase expense categorization and suggest users invest small amounts from everyday transactions which can encourage gradual wealth accumulation.

## 9.5 Personalized financial guidance

Digital banks can also leverage AI to offer tailored saving and investment recommendations based on user's financial goals, risk tolerance, and spending habits. Similarly, tutorials can be showcased to simplify complex investment jargon and terms for Gen Z so that their understanding enhances, and interest develops over time. Understanding of the financial market and financial terms are some of the major challenges faced by youth hence digital banks can address these gaps to attract youth towards new saving or investment schemes.

## 9.6 Shariah compliant and ethical investment options

Gen Z is a socially conscious generation who are driven by different causes. Shariah compliance is an important aspect for them hence digital banks could collaborate with more organizations such as Al Meezan Funds and Faysal Funds to offer Shariah compliant investment options.

# 10. CONCLUSION

This study analyzed the savings and investment landscape in Pakistan and opportunities, which could be created by digital banks for a new target, market i.e. Gen Z. In the first part of the report, it is assessed and identified the financial standing of Gen Z i.e. their monthly incomes, amounts saved, age and income-wise preferences for investment. It further identifies barriers towards saving and investments that Gen Z faces and explores their needs and preferences. Based on this data, recommendations are drawn from data collected through a panel of experts. The recommendations are provided based on their feasibility and the impact they could create for digital banks.

Pakistan suffers from one of the lowest gross savings rates in the world. As of 2019, Pakistanis saved 12.3% of GDP. For comparison, the world and South Asian average is 24.69% and 27.97%, respectively[28]. In FY15, Pakistan ranked 151 amongst 175 countries in terms of investment rate, lower than its neighboring countries including India, Sri Lanka and Bangladesh. According to a report issued by SBP, it is reported that only 50 percent of the national savings find its way into the financial sector, the remaining is mostly invested in real estate and in some other form of capital e.g. gold through informal assets[29].

Digital banks have a unique opportunity to attract a burgeoning demographic of young investors who are willing to take more risk in exchange for greater returns. This demographic is categorized by its tech savviness, inclination towards convenience and ease and value driven investment choices. To successfully engage with these young investors, digital banks need to provide user-friendly options that allow for micro investments and integrate these with educational resources, so users are empowered and informed. Additionally, the inclusion of socially responsible investments or introduction of sustainable investment funds can encourage Gen Z to invest greater amounts since this generation is highly purpose driven. Apart from offering diverse investment options, it is imperative that digital banks focus more on gamification and customization to ensure a personalized experience.

The study has highlighted that Gen Z is dissatisfied with traditional saving and investment options, which are available through commercial banks. Such a situation presents an opportunity for digital banks to rapidly develop new products, which are easy to understand and invest in. The core factors, which influence the choice of Gen Z, are quick returns, transparency and Shairah compliance. Therefore, it is crucial to either introduce short-term reliable investment options or make existing investment options such as mutual funds, stocks, gold or real estate to be more affordable and accessible.

[28] *https://macropakistani.com/savings-inequality*

[29] *Ali, SBP Staff Notes. (2016). Informal Assets and Investment Patterns in Pakistan: Insights from the State Bank Report. State Bank of Pakistan.*

UKaid from the British people

Gates Foundation

## About Karandaaz

Karandaaz Pakistan is a not-for-profit public company limited by guarantee, set up under Section 42 of the Companies Act, 2017. Karandaaz was established in 2014 with seed funding from the UK Government's Foreign, Commonwealth, and Development Office and the Gates Foundation. Karandaaz Pakistan is an impact investment platform that drives sustainable economic growth and strengthens financial and social protection systems for inclusion. Its main area of focus is addressing challenges faced by SMEs and unbanked individuals in Pakistan with respect to access to finance, fostering economic growth and prosperity for the country.

### Karandaaz Capital

This vertical provides wholesale structured credit and equity-linked direct growth capital investments in micro, small, and mid-size enterprises that have the potential to contribute to sustainable growth and employment generation in Pakistan.

### Karandaaz Digital

This vertical focuses on expanding access to digital financial services in Pakistan by working across the ecosystem with all stakeholders in the following work areas: digital public infrastructure, payment systems, policy and regulation, seeding innovation, experimentation, solutions development, and scale and outreach.

### Karandaaz Innovation Investments

This vertical provides risk capital and technical assistance to support innovative solutions aimed at financial inclusion and entrepreneurship, especially in marginalized sectors. A key component of the work includes providing business development support and growth capital to women-led businesses and green ventures to facilitate their expansion and scale-up.

### Karandaaz Research & Insights

This vertical supports the company's core financial inclusion goal by developing and disseminating evidence-based insights and solutions to influence markets and its financial ecosystem.

For more information, contact us at: info@karandaaz.com.pk

KARANDAAZ

www.karandaaz.com.pk

@KarandaazPK /KarandaazPK /company/karandaaz-pakistan

@karandaazpakistan3106 @karandaazpk